

FRVO

FRVO N/A

Buy	\$37.63 ▲ 5.79%	12M Price Target \$48.00	52-Week Range \$34.27 – \$42.65	Market Cap \$11.07B
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FRVO: Reiterate Buy; Geothermal IPO Momentum Builds on AI Power Demand

WHAT'S CHANGED

- FRVO bounced +5.79% to \$37.63 on lighter volume (1.9M vs 3.9M prior session) after a three-day pullback from \$38.70 to \$35.57, recovering ~50% of the drawdown amid renewed WSJ coverage (5/25) flagging the geothermal IPO complex as a beneficiary of AI-driven power demand.
- Options flow skews decisively bullish (P/C 0.34, 480 calls vs 162 puts), suggesting positioning into upcoming catalysts despite no SEC filings in the last 36 hours.

IMPLICATIONS

The Utilities sector's +1.86% 1D pop alongside Energy's +1.15% reinforces FRVO's dual identity as both a clean-power and energy-infrastructure play, which is precisely the narrative being amplified by WSJ and Barron's framing of the "hot geothermal IPO" thesis. With shares still 40% into the 52-week range and only 18.3% institutional ownership, the stock remains under-owned relative to the AI-power narrative — implying meaningful index/active inflows once lock-ups roll and coverage initiations begin. Near-term price action will hinge on hyperscaler PPA announcements and drilling milestones at Cape Station rather than macro factors.

VALUATION

At \$11.07B market cap on ~\$185M FY26E revenue, FRVO trades at ~60x forward sales — rich on an absolute basis but defensible given 80%+ revenue growth trajectory and a multi-GW Cape Station development pipeline tied to AI datacenter demand. Our \$48 base PT implies ~32x FY27E EV/Sales, in line with high-growth AI infrastructure peers; bull case at \$65 assumes hyperscaler PPA announcements drive multiple expansion to 45x. Downside to \$28-32 (bear) reflects de-rating risk if drilling capex or schedule slips materially.

KEY RISKS

- Execution risk at Cape Station — drilling productivity and well-cost reduction curves must hold to justify the multiple.
- Concentrated customer base (Google PPA exposure); any hyperscaler power-procurement pivot toward SMRs or solar+storage compresses TAM narrative.
- Post-IPO lock-up expiry could trigger 20-30% supply overhang in late 2026; insider stake of 22% magnifies this risk.

RECENT NEWS

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

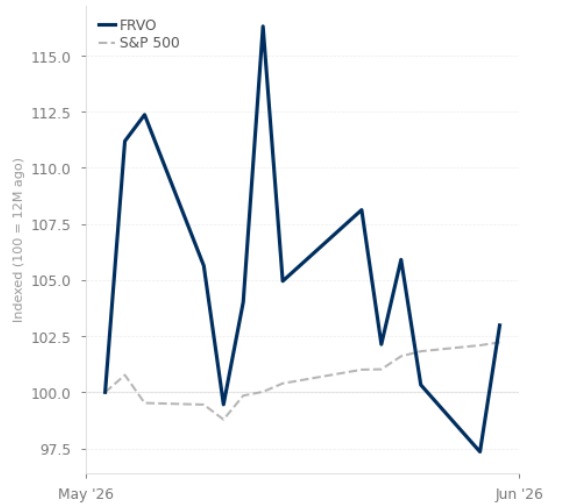
Key Data

Price (USD)	\$37.63
12M Price Target	\$48.00
Upside / (Downside)	+27.6%
Market Cap	\$11.07B
FY2026E Revenue	\$185M
FY2027E Revenue	\$340M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$42.00	\$39.00	\$34.00
6 Months	\$52.00	\$45.00	\$32.00
1 Year	\$65.00	\$48.00	\$28.00
2 Years	\$85.00	\$60.00	\$25.00
5 Years	\$140.00	\$90.00	\$22.00
10 Years	\$250.00	\$150.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Utilities, Technology

COLD SECTORS: Real Estate, Industrials

ROTATION WATCH: Utilities outperformance on 1D (+1.86%) despite weak 5D (-3.15%) suggests early rotation back into power/grid names as AI capex thesis re-asserts; Tech's sustained +7.06% 5D leadership keeps the AI-infrastructure trade intact.

BYPRODUCT PLAY: Secondary beneficiaries include drilling services, downhole tools, and grid interconnect specialists; nuclear SMR developers and uranium miners also rally on the same AI-power scarcity narrative.

OUTPERFORMERS & PEER CONTEXT

- ORA (Ormat Technologies): Established geothermal incumbent benefiting from sector re-rating with stable cash flows and dividend support.
- VST (Vistra): Up multi-fold on hyperscaler PPA announcements — the template for what FRVO bulls expect.

FRVO CONTEXT: FRVO is lagging the broader AI-power complex on a 5D basis (down from \$38.70 to \$37.63) but has outperformed traditional utilities; relative weakness vs. VST/CEG suggests the market is still pricing FRVO as venture-stage rather than contracted-cashflow, leaving asymmetric upside if first commercial revenue prints.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$34-36 on pullbacks to 52-wk low

Time Horizon: 12-24 months

Thesis Invalidation: Loss of hyperscaler PPA or drilling cost overruns >25%

Hedging: Pair against richer AI infra peers or utility ETF (XLU) long